

July 13, 2026 04:40 AM GMT

Investor Presentation | Asia Pacific

Asia Summer School: Hong Kong/China Insurance

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HONG KONG/CHINA INSURANCE

Asia Pacific	
Industry View	Attractive

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Asia Summer School 2026

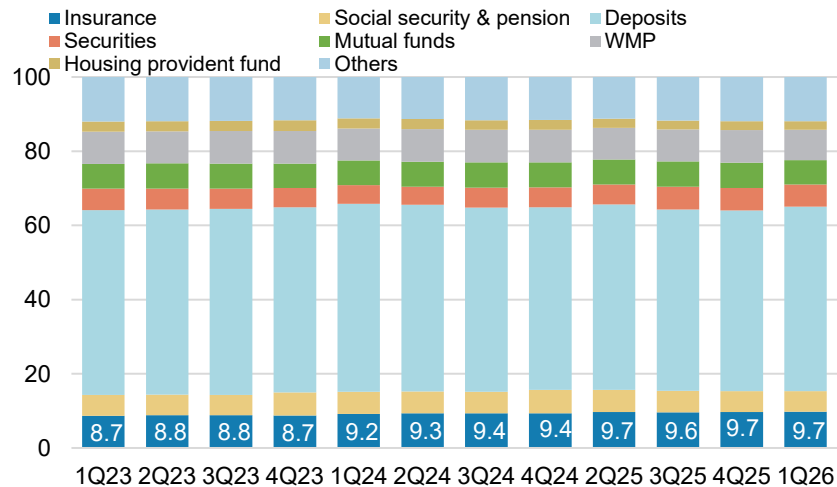


1. Industry Growth Potential

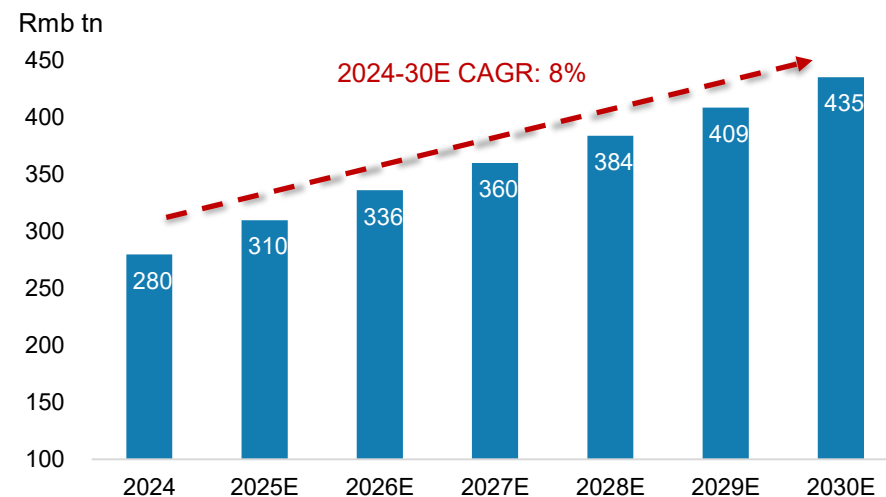
1.1 Solid household wealth growth; insurance could outperform

- China's household financial assets reached Rmb320tn as of 1Q26 and have delivered double-digit growth over the past decade, despite Covid-related disruptions and a weaker macro backdrop.
- Insurance products remain the only principal-guaranteed financial products in China that also offer reasonable yield and value-added services. As a result, insurance has continued to gain share within household financial assets in recent years.
- We expect this trend to persist, with household financial assets growing at an 8% CAGR over 2024-30E to reach Rmb435tn by 2030E, versus Rmb310tn in 2025. We believe insurance products are well positioned to capture a growing share of incremental household savings.

Household financial asset breakdown



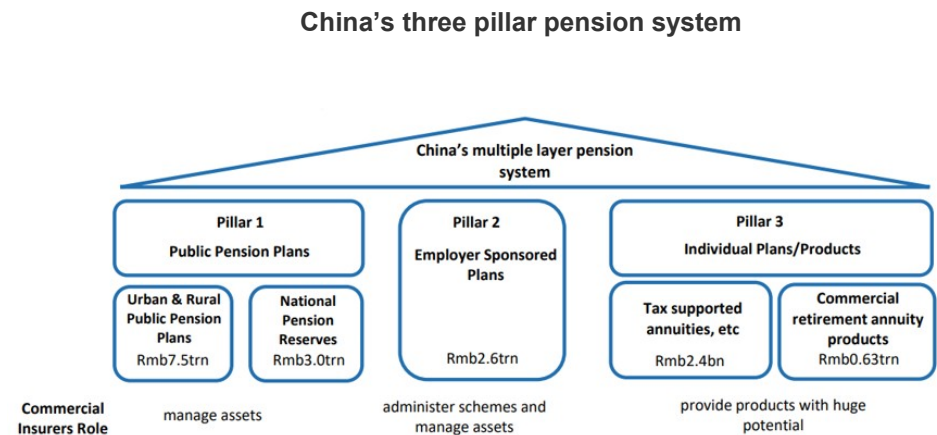
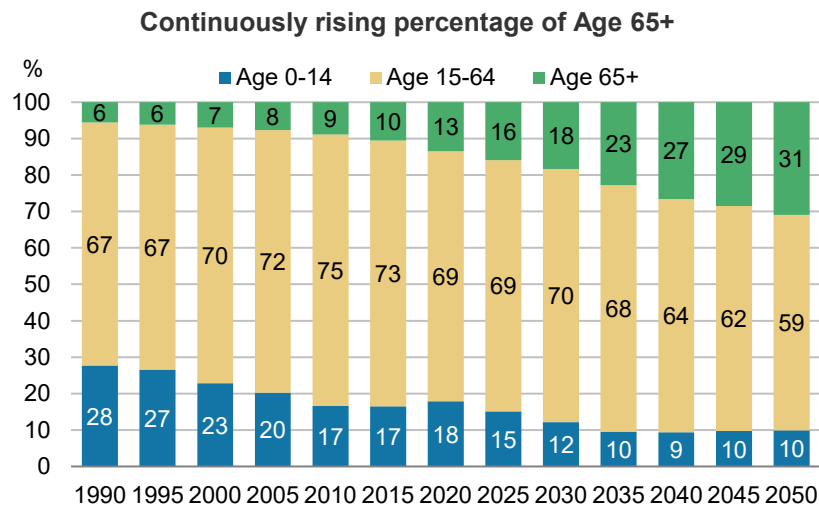
Household financial asset growth – 2025 to 2030E



Source: PBoC, NAFR, AMAC, CEIC, Morgan Stanley Research Estimates.

1.2 Inelastic and high demand for senior care

- The percentage of China's population aged 65+ reached 16% in 2025, and this will accelerate when the over 300mn people born in the 1970-80s reach retirement age in the next 5-10 years.
- We see significant demand for prudent financial management, wealth succession and senior care & healthcare demand.
- We believe insurers are the best play to leverage off this dynamic, as there are few players servicing the sector and they consolidate market resources and bundle product offerings to meet this demand.

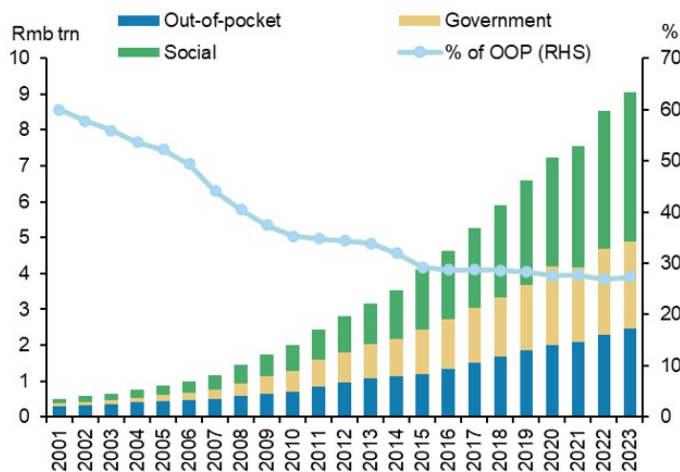


Source: United Nations Department of Economic and Social Affairs, NBS (National Bureau of Statistics of China), MOHRSS (Ministry of Human Resources and Social Security) Morgan Stanley Research.

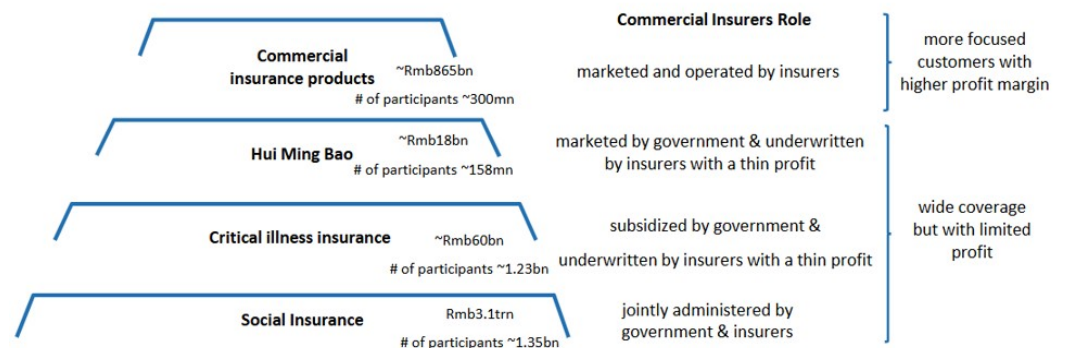
1.3 Rising demand for premium healthcare services

- China's government has undergone healthcare insurance reform, which introduced standardized medical insurance, and launched commercial insurance directories.
- While health insurance products account for a low portion of insurers' VNB, we are seeing increased demand for indemnity medical insurance and lower demand for CI products.
- We think insurers can play a more important role in personal health expenditure, and provide customers with better access to new drugs and premium healthcare services.

China's health expenditure – out-of-pocket expenses are still high



China's public health insurance system and the role of commercial insurers



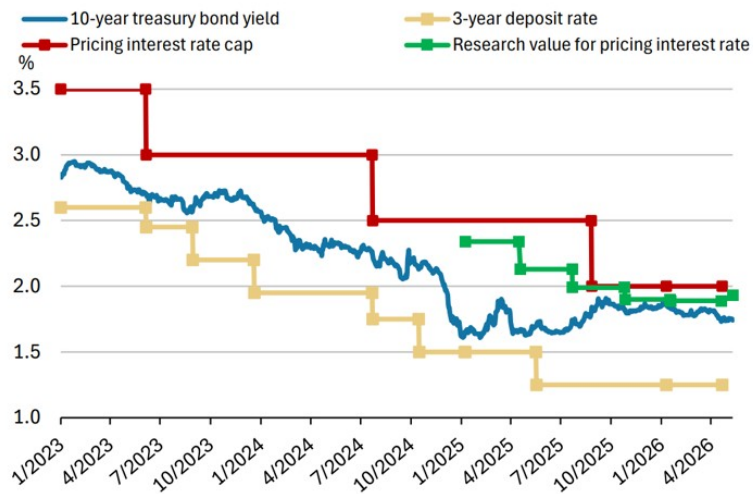
Source: NHC, Morgan Stanley Research. *Note: Revenue or premium in 2022. Hui Ming Bao equates to city-customized commercial medical insurance plans.

2. Key Industry Trends

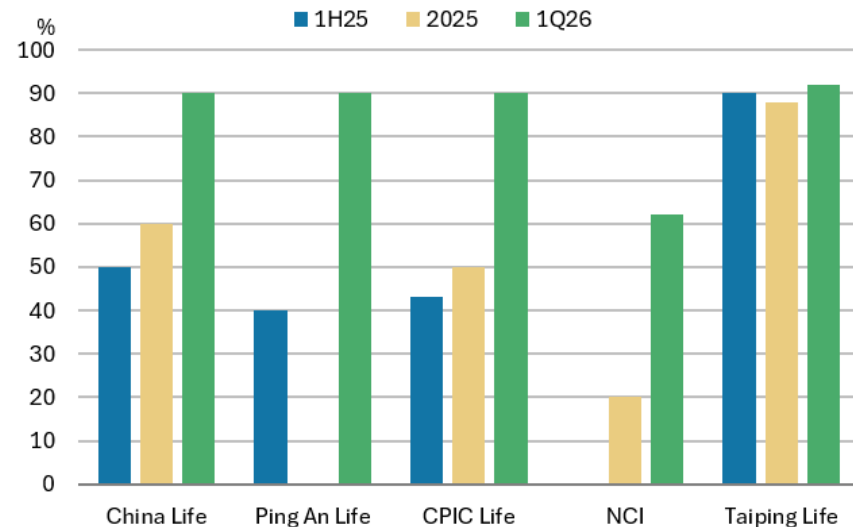
2.1 Insurers have largely completed shift to par products over the past two years

- Declining long-term interest rates in recent years, together with regulatory guidance, have driven China insurers' product strategy shift from traditional to participating products.
- Listed insurers have accelerated par product roll-outs since 2H24 and largely completed the transition from traditional to participating products across both agency and banca channels in 2026.
- In 1Q26, most listed insurers recorded a ~90% par product mix in regular FYP (first-year premiums), up from <50% in 1H25.

Insurers' pricing interest rate caps have been declining over the past three years in China



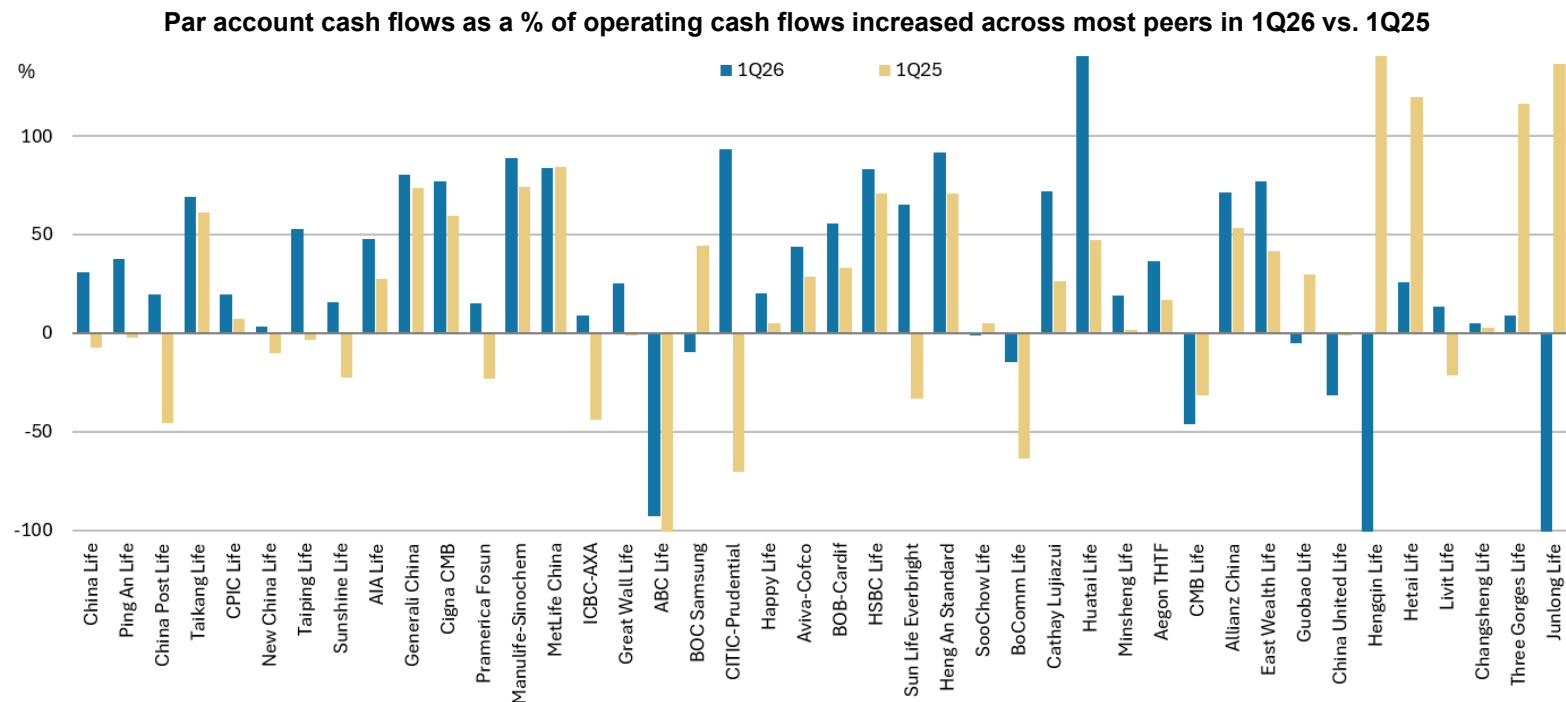
Listed insurers' par product mix



Source: IAC, PBOC, CFETS, Company data, Morgan Stanley Research

2.1 Insurers have largely completed shift to par products over the past two years

- Most unlisted insurers have delivered similar trends. They posted positive YoY operating cash flow growth in 1Q26 with an ~11% median.
- We see a material increase in participating products' contribution to operating cash flow in 1Q26 vs. 1Q25 across most names, making par products a key driver of liability-side growth and near-term cash flow improvement.
- However, it remains debatable whether par products are the optimal offering in a de-risking environment, esp. for smaller players. We expect product strategies to become increasingly differentiated going forward.

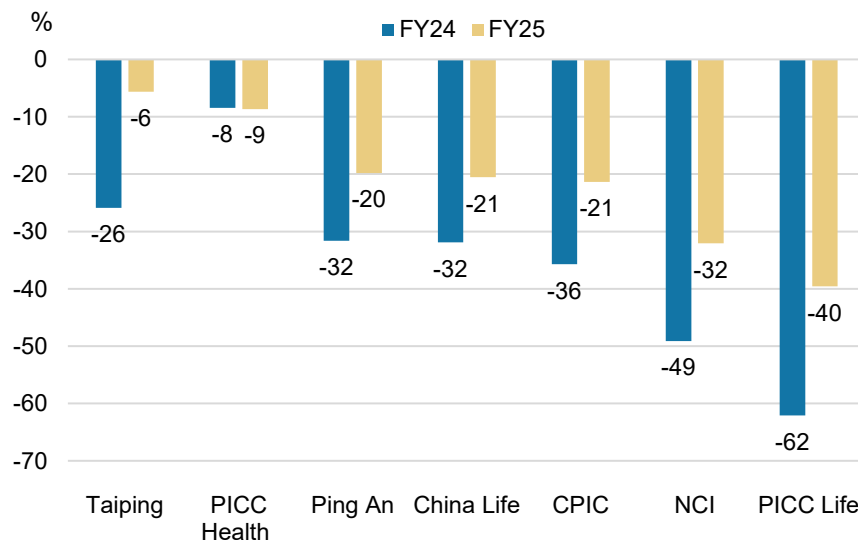


Source: IAC, Company data, Morgan Stanley Research

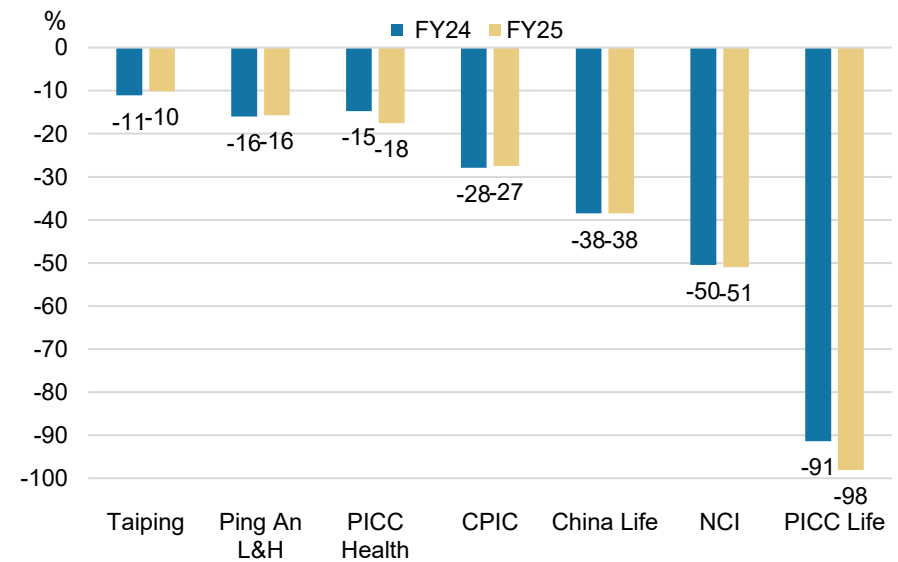
2.2 Effective action has been taken to address interest rate spread loss risks

- In addition to the transition toward participating products, insurers have also taken other measures, including lowering pricing interest rates and tightening expense controls.
- LT investment yield and RDR were also cut in 2023-24, making EV assumptions more realistic.
- VNB interest rate sensitivity saw notable improvement in 2025, helped by effective measures taken over the past few years. VIF sensitivity remained largely flat across listed insurers, and we expect improving trends (lower sensitivity) in the coming years.

VNB sensitivity - If investment return down 50bps



VIF sensitivity - If investment return down 50bps

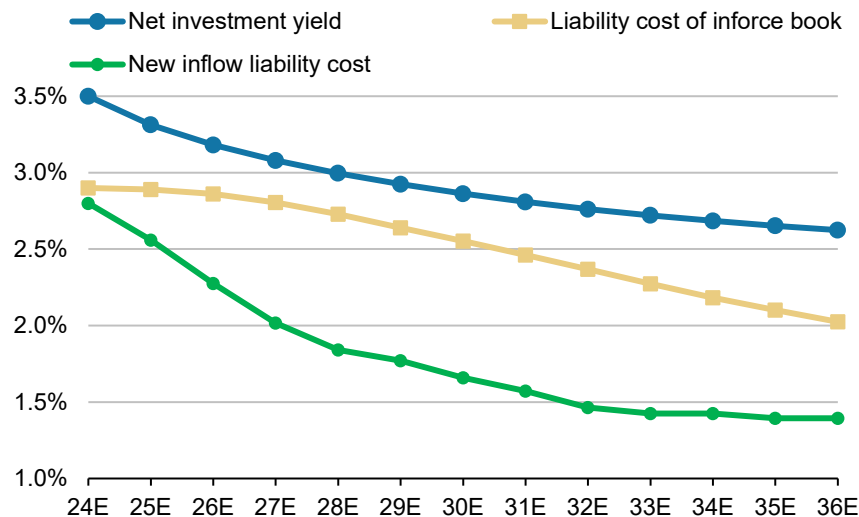


Source: Company data, Morgan Stanley Research; TPL is based off Investment return and risk discount rate decreased by 50bp; Ping An is based on EV of Ping An L&H

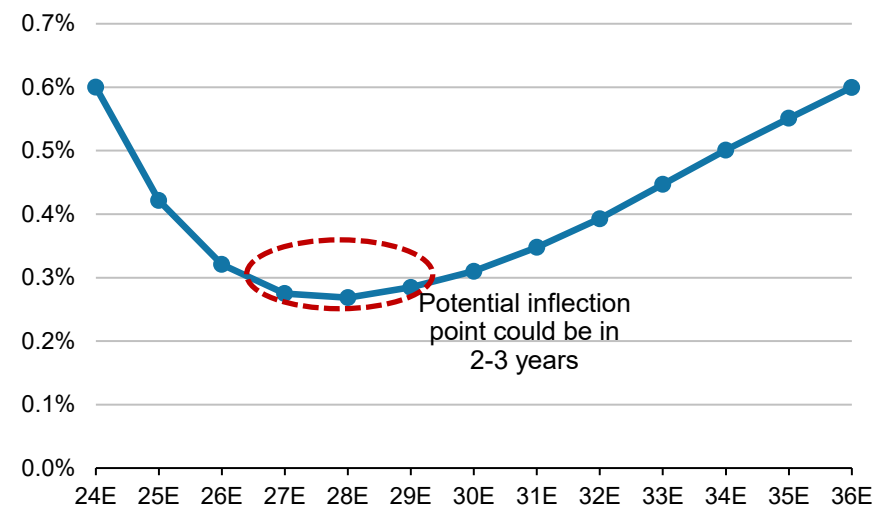
2.2 Effective action has been taken to address interest rate spread loss risks

- With continued declining pricing interest rates and further expense restriction, new inflows' guaranteed liability cost has begun to fall meaningfully across insurers.
- High-quality insurers had already started to see a downward inflection point in liability costs of in-force business by end-2025, while for more companies, such inflection points may not emerge until 2026-27 or later.
- Yield of new assets is notably higher in 2026, vs. 2025 due to stable interest rate, while insurers' NIY is still declining.
- We expect the interest spread to remain under pressure over the next 2-3 years, but believe the industry is approaching an inflection point.

Long-term forecasts of life insurers' net investment yield and liability costs



Interest spread will continue to decline rapidly in the next 2-3 years

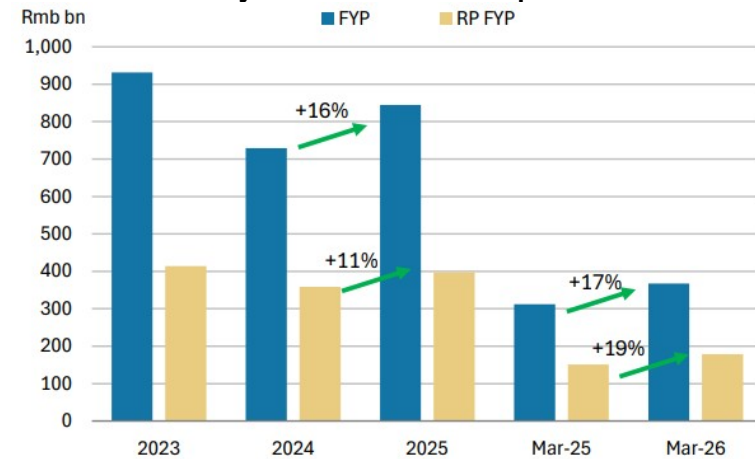


Source: All data are Morgan Stanley Research (E) estimates. We assume 1.8% 10Y bond yield, double-digit premium growth, improved product mix and gradually declining guaranteed pricing interest rate during the period.

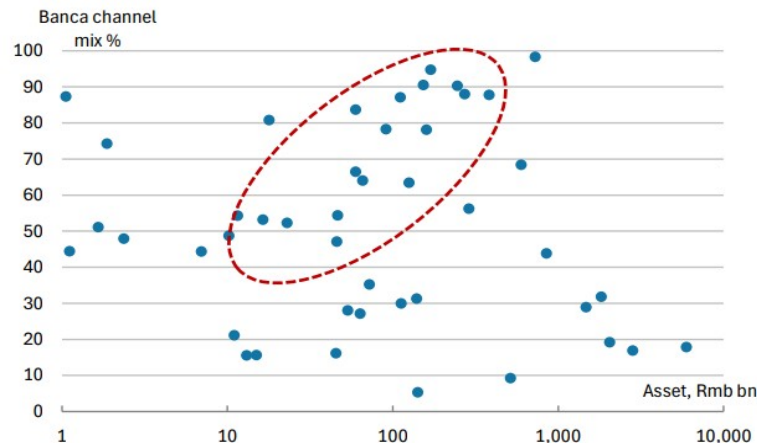
2.3 Clear opportunities in banca channel, with large insurers maintaining their edge

- Banca rebounded with >15% new premium growth in 2025 after a brief adjustment due to tighter expense regulation (“Bao Xing He Yi”) in late 2023 and early 2024.
- At the industry level, channel structures have diverged between large insurers and mid-to-small players, with SME insurers relying heavily on the banca channel.
- Most insurers with Rmb10bn-Rmb1tn assets derive 50-100% of gross premiums from banca, while insurers with >Rmb1tn assets maintain a more balanced mix – the agency channel contributing ~60-80%

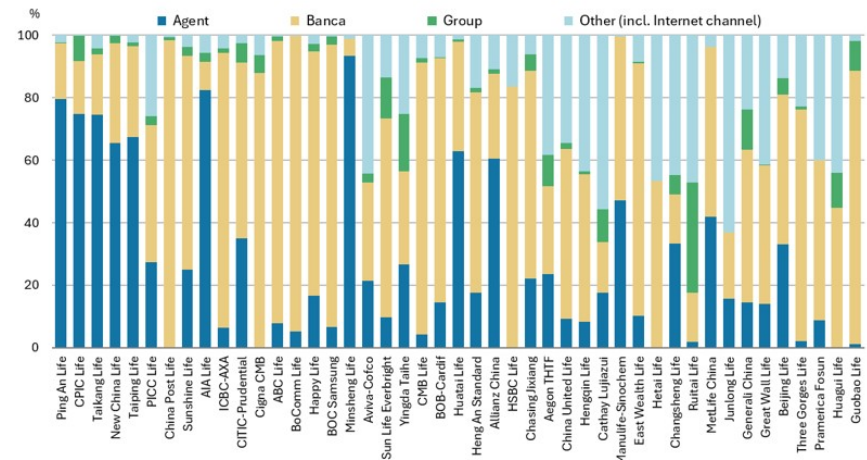
Industry-wide banca channel premiums



1Q26 banca channel mix as a % of total premium vs. total



1Q26 channel structure across insurers – gross premium basis

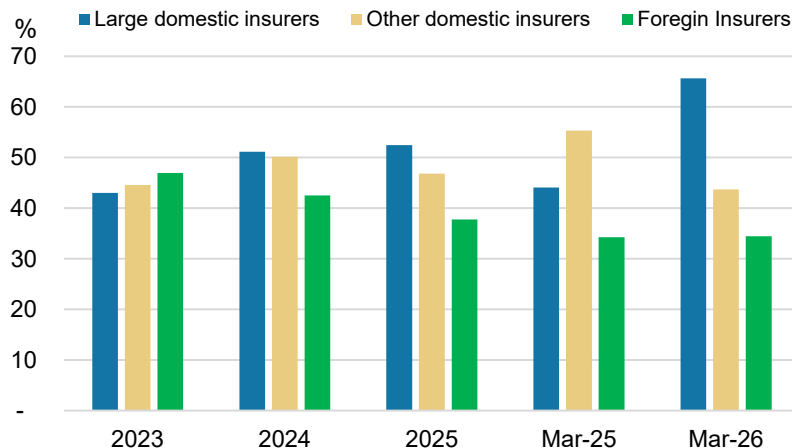


Source: IAC, Company data, Morgan Stanley Research

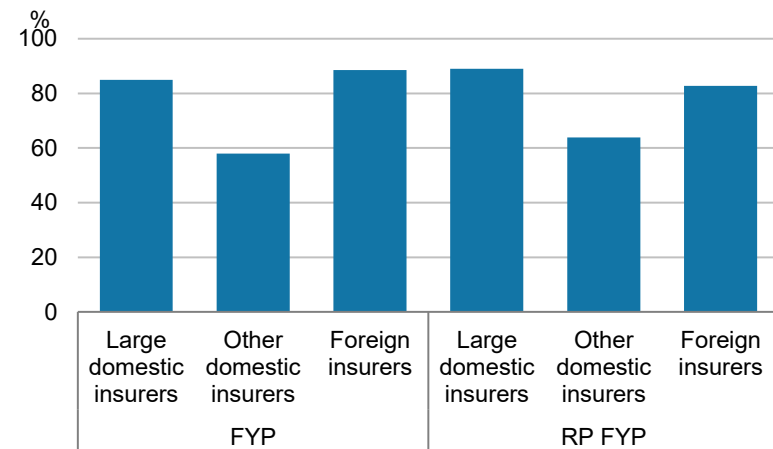
2.3 Clear opportunities in banca channel, with large insurers maintaining their edge

- Large insurers can maintain their edge in banca channel due to brand name, bank outlets' cooperation and cost efficiency.
- Insurers are also accelerating the transition towards participating products in banca channel, esp. large domestic insurers and foreign insurers – with over 80% par product in their 1Q26 FYP and FYRP.
- Large insurers are placing more emphasis on payment, while others are still pushing single-payment sales in 2026.
- With further tightened regulation, we see more reasonable and sustainable growth in banca channel.

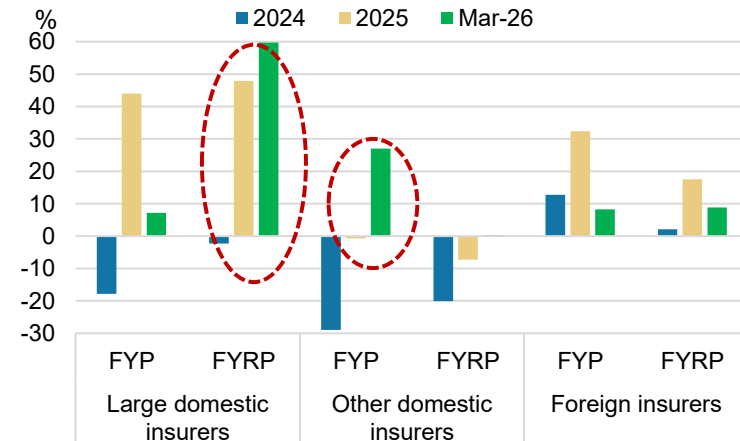
1Q26 regular FYP mix in banca channel



1Q26 par product mix in banca channel



FYP and FYRP growth

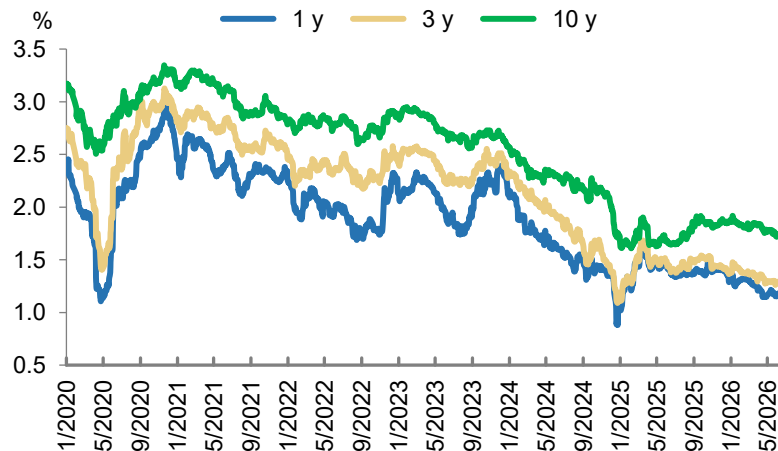


Source: IAC, Company data, Morgan Stanley Research; * Large domestic insurers include China Life, Ping An Life, CPIC Life, Taikang Life, New China Life, Taiping Life and PICC Life

2.4 Gradually stabilized long-end interest rate and steeper yield curve

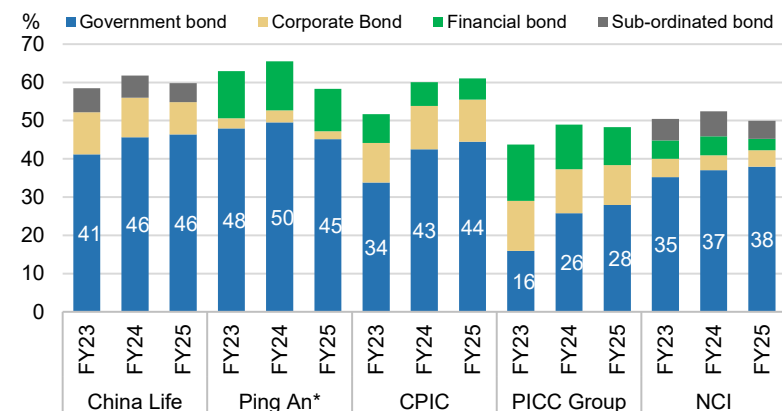
- China's 10Y government bond yield rebounded to ~1.8% in 2H25 after bottoming at ~1.6% in early 2025 and has remained broadly stable at this level in 2026 YTD.
- The yield curve has steepened, with long-end rates (30-year) rising more notably over the past year, which should prove more supportive for insurers over the longer term.
- Listed insurers' overall bond allocation slightly declined in 2025 while government bond allocation increased.

10Y treasury bond yield slightly rebounded after bottoming in 1H25

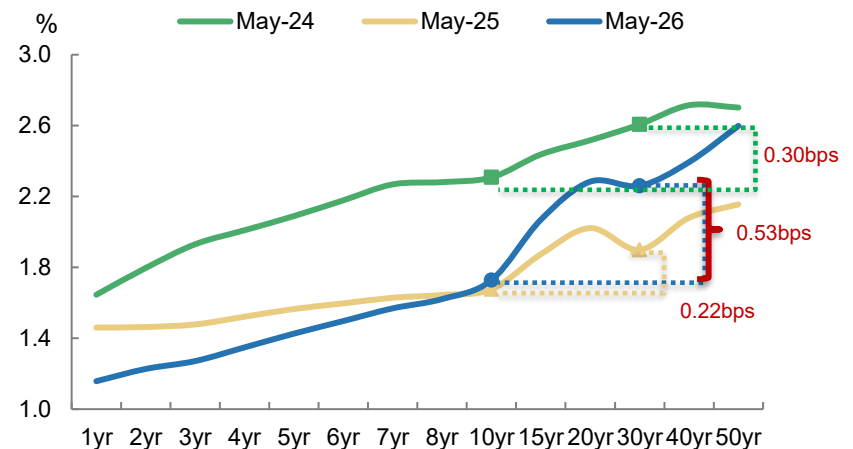


Source: PBOC, CFETS, CEIC, Company data, Morgan Stanley Research; *Bond allocations of Ping An Bank are excluded for Ping An

Listed insurers' bond allocation



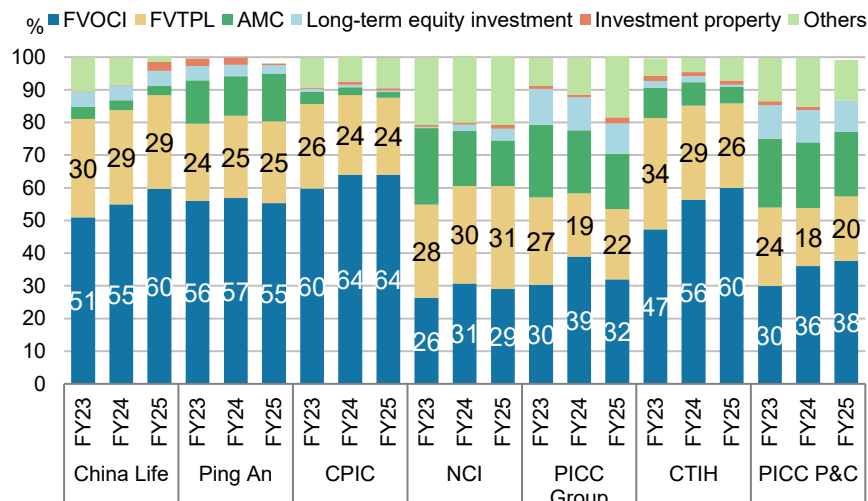
Long-duration allocation becoming more attractive as long-end yield continues to widen



2.5 Notably higher impact from equity volatility under IFRS 9

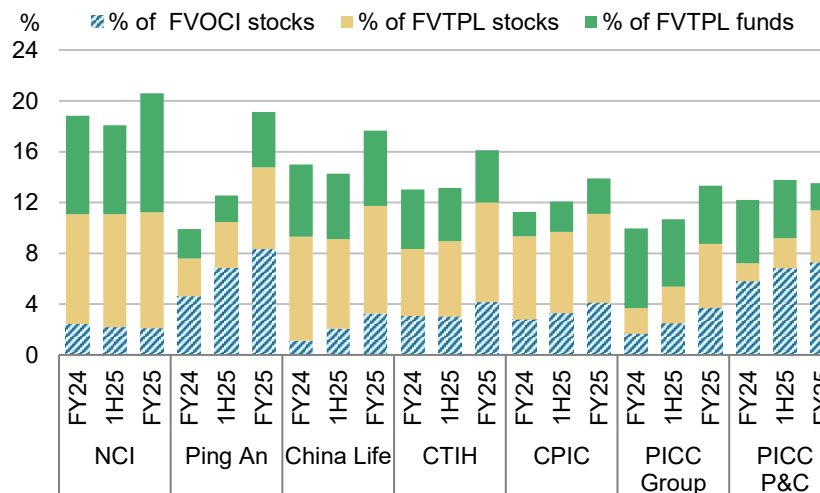
- As most non-listed insurers also adopted IFRS 9 from early 2026, equity asset classification and its impact on reported earnings have increased significantly.
- Leading insurers have materially raised equity allocations to ~15%-20% of total invested assets (including equities and funds), with limited room for further increases, in our view. However, equity investments can continue to grow alongside the expansion of overall insurance funds.
- We see divergent allocation strategies across insurers, including high-dividend, growth-oriented, and blended approaches. While FVOCI equity exposure differs meaningfully, insurers with lower FVOCI allocations still show an incentive to gradually increase exposure to high-dividend stocks over time.
- Earnings could be highly sensitive to equity market movements if there is high FVTPL stock allocation.

Listed insurers' investment allocation under



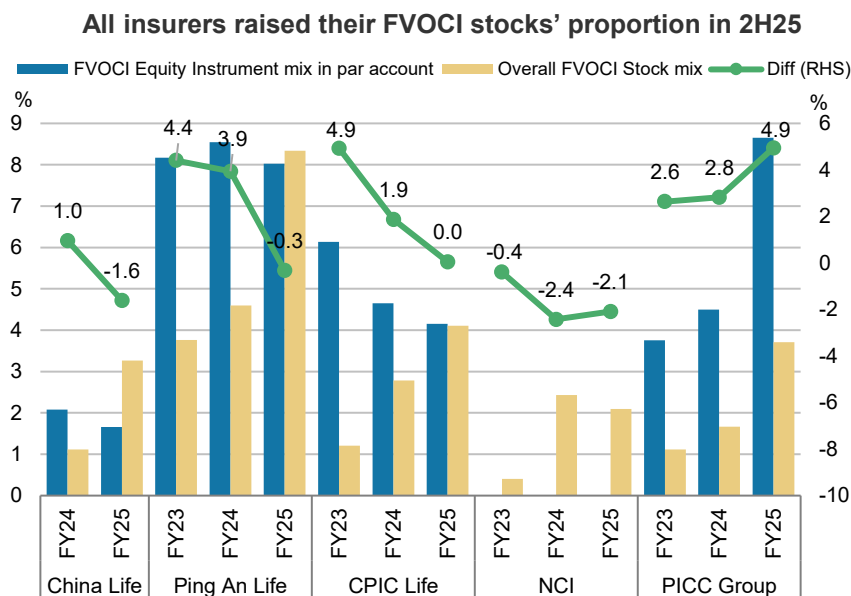
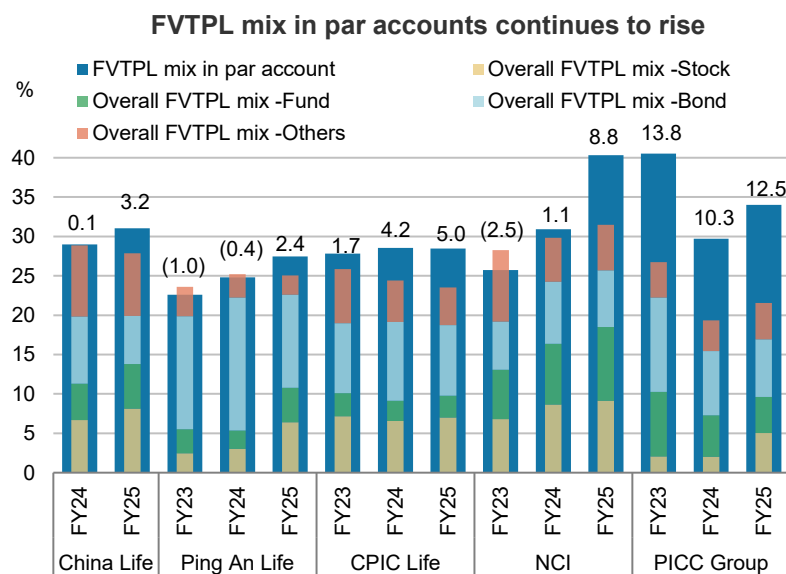
Source: NFRA, Company data, Morgan Stanley Research

All insurers raised their FVOCI stocks' proportion in 2H25



2.6 Listed insurers have increased equity allocations, esp. in par accounts under IFRS 9

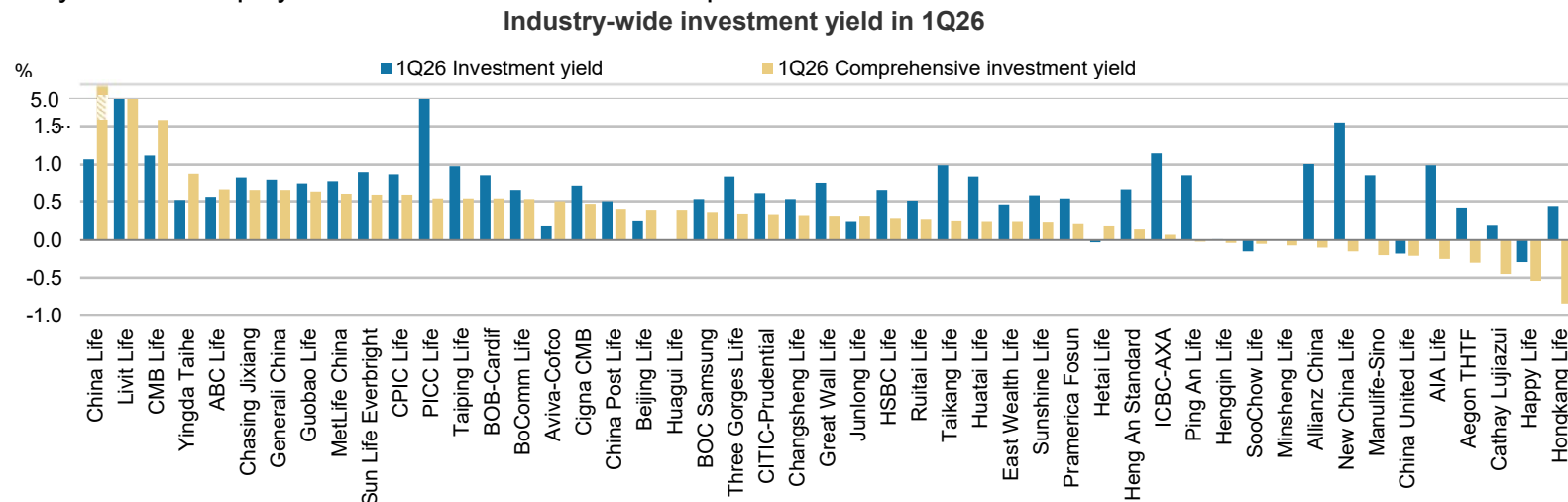
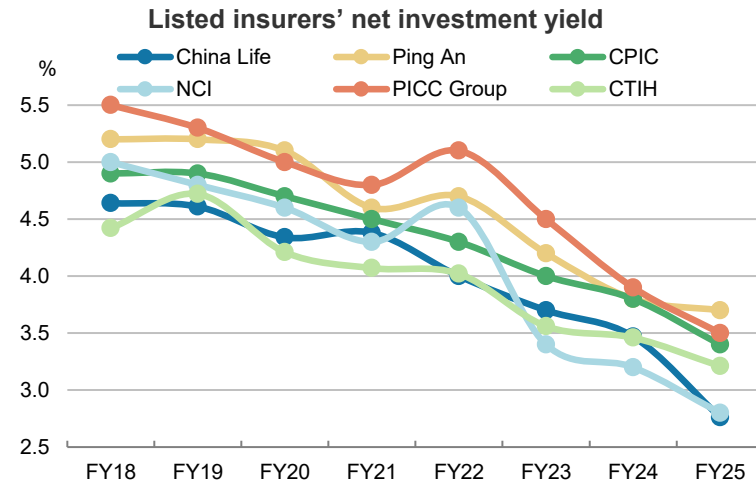
- Different investment strategy in par and traditional accounts – the former could be more aggressive.
- Over the past three years, we have seen higher FVTPL allocations in par accounts (i.e., more assets held for trading gains, including equities, bonds, and others), while overall FVTPL allocations have remained relatively stable.
- Trends in par accounts diverge from non-par accounts: Ping An has maintained a broadly stable FVOCI equity mix in par accounts, while CPIC Life and China Life have continued to reduce this mix (indicating higher FVOCI equity allocations in non-par accounts). NCI has almost no FVOCI exposure in par accounts



Source: Company data, Morgan Stanley Research

2.7 Leading insurers are exploring innovative and alternative asset investment

- Listed insurers' net investment yields have continuously declined over the past few years.
- In 1Q26, industry median investment was around 0.65% while median comprehensive investment yield was only about 0.31%
- Leading insurers are adopting more diversified allocation strategies and have expanded into a broader range of asset classes, including ABS, public and private REITs, and private equity funds.
- SME insurers have obstacles in these investments, and many focus on equity investment amid this backdrop.

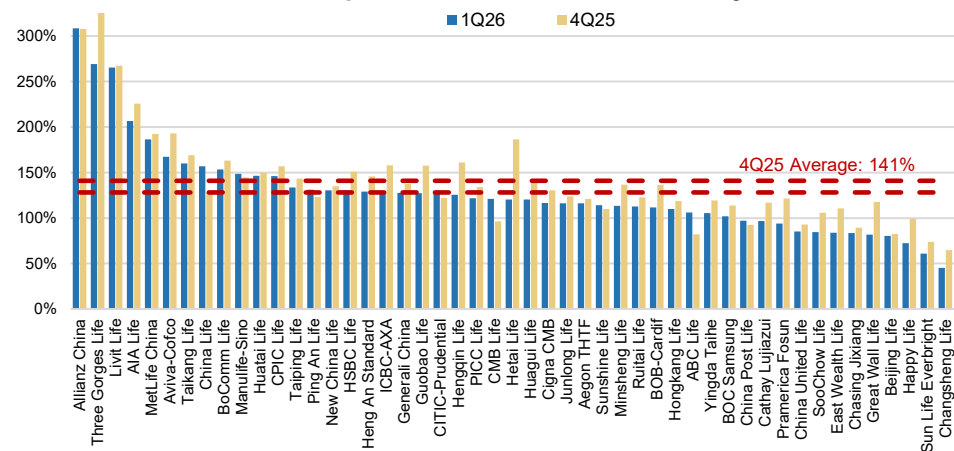


Source: Company data, Morgan Stanley Research

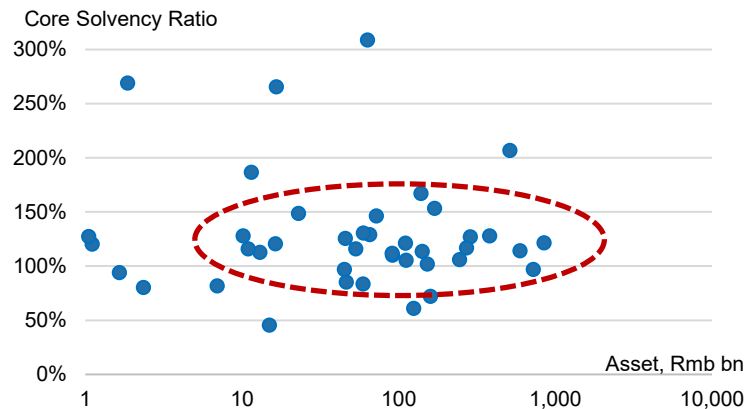
2.8 Solvency remains key constraint on insurers' ALM

- The full rollout of the C-ROSS Phase II framework has tightened capital requirements. Solvency ratio pressure could continue to weigh on some insurers' asset allocation and liability growth.
- We see limited likelihood of launching C-ROSS Phase III in 2026, with implementation more likely in 2027.
- Lag effect of interest rates could continue to weigh on capital in 2026, while we believe large insurers could maintain the advantage - regulators have continued to ease solvency rules and risk factors in recent years, and business quality continues to improve.

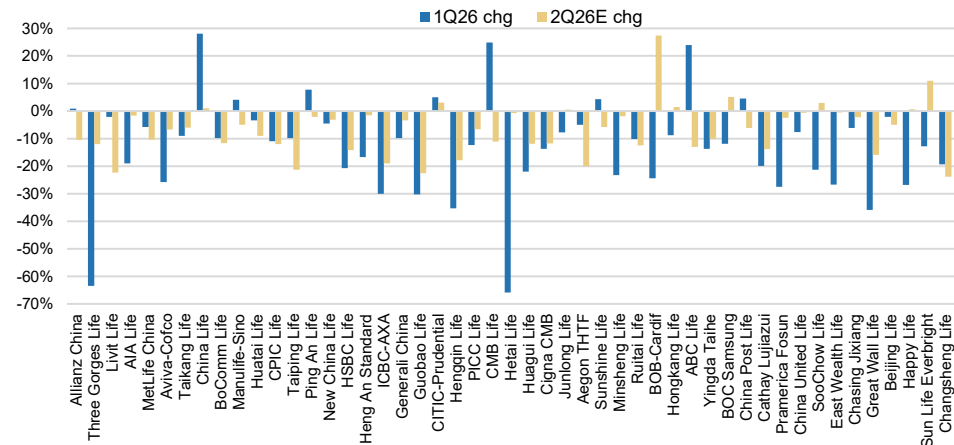
Life insurers saw sequential decline in core solvency ratio in 1Q26



Insurers' core solvency ratio vs. asset volume in 1Q26



2Q26 core solvency ratios expected to decline from insurers' disclosure



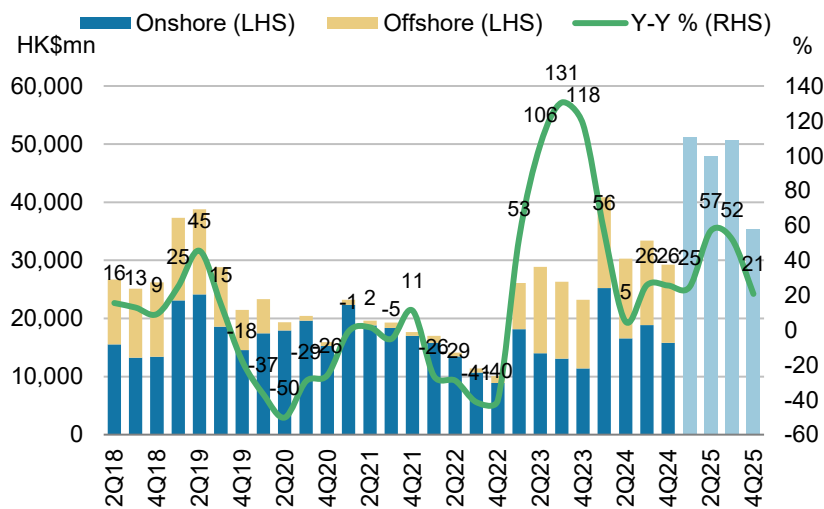
Source: Company data, Morgan Stanley Research

3. HK Life Insurance Market

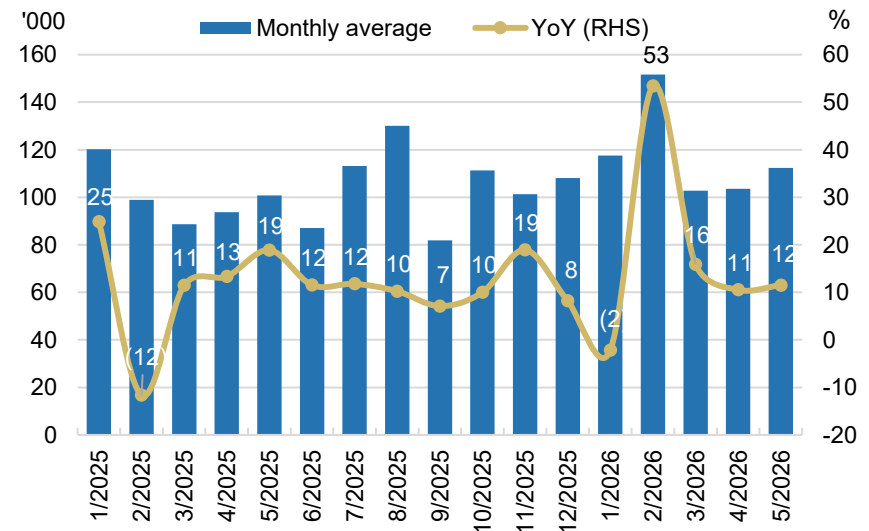
3.1 HK market sales trends – continued strong momentum

- HK saw APE at HK\$35.4bn in 4Q25, up 21% y-y, moderating from a strong 2Q and 3Q (+57% and +52% y-y). This still marks a historical high 4Q (over the past decade) despite continued regulation tightening in the year (see [page 23](#) for details).
- MCV growth at double digits remains strong, and we expect the onshore and offshore contribution mix to remain relatively stable.
- Even considering the tighter regulations in HK's insurance market since 2025 and amid concerns on a cross-broker clampdown on MCV business, we expect HK to maintain its robust premium growth this year.

HK life insurance market total APE and growth



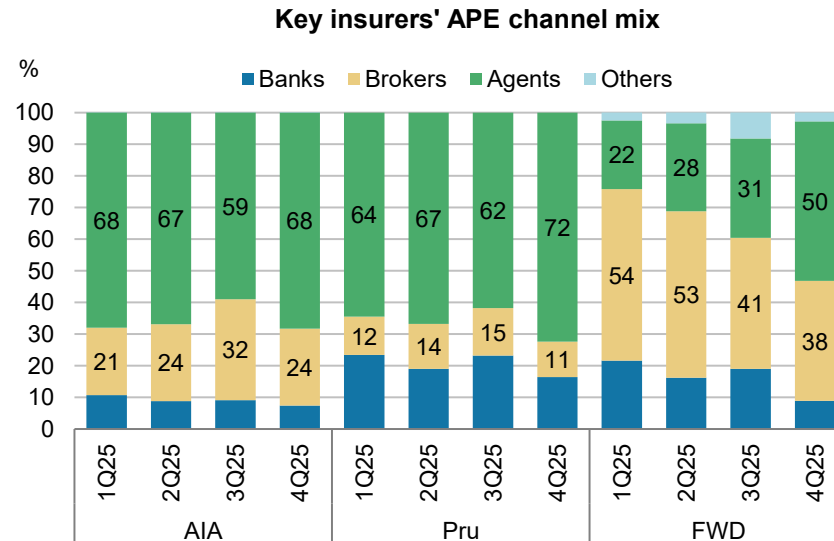
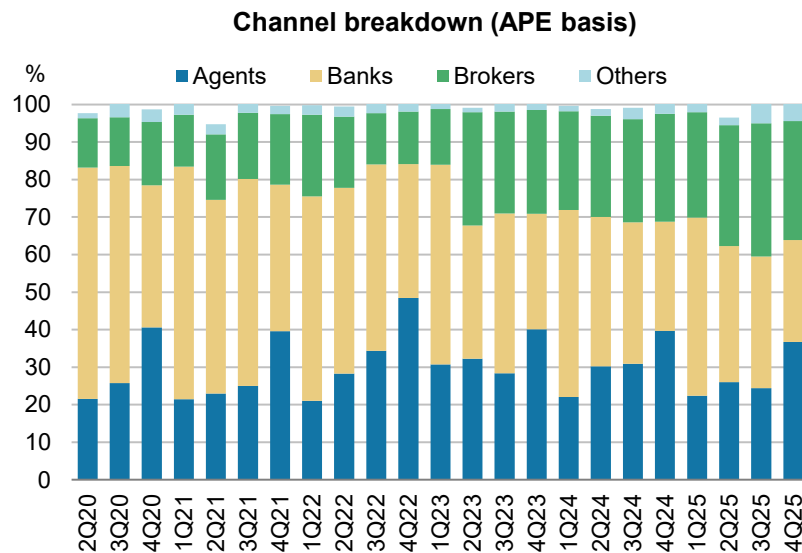
Average daily China arrivals to Hong Kong since 2025



Source: HKIA, HK Immigration Department, Morgan Stanley Research

3.1 HK market sales trends

- Channels: Broker channel market share (on an APE basis) remains at a relatively high level historically, while banca is more seasonal, with a higher mix in 4Q. Agent channel also plays an important role in HK.
- Key insurers: Agent channel contributed 50-70% of key insurers' total APE in 4Q25, while broker and banca channels' contribution diverges across AIA, Pru and FWD.

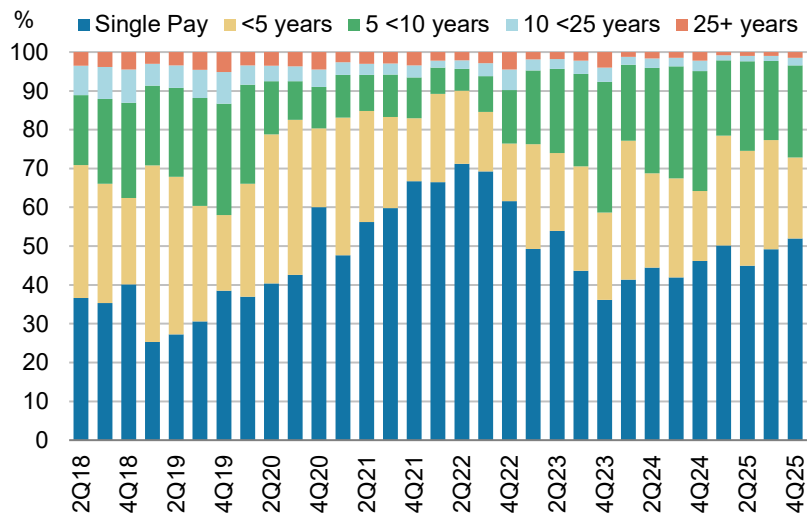


Source: HKIA, Morgan Stanley Research

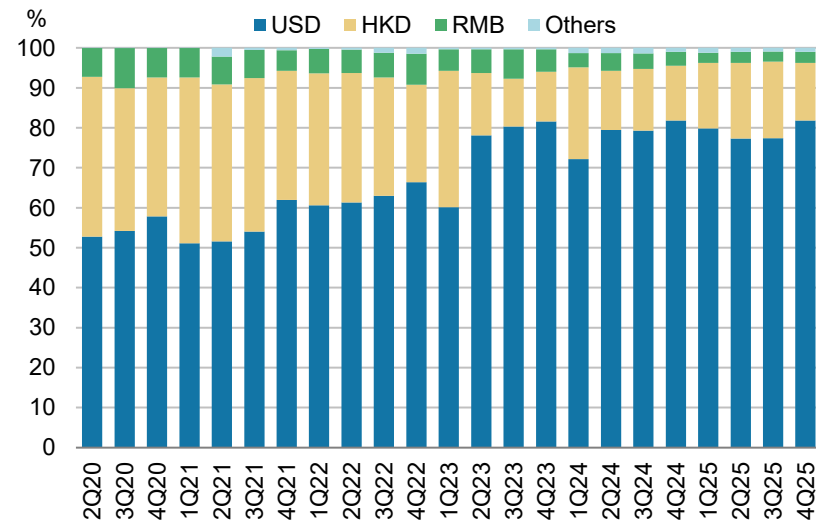
3.1 HK market sales trends

- Payment pattern: Single pay's first-year premiums (FYP) increased 49% y-y in 4Q25, with mix in overall FYP up 6ppts. The <5-year mix also increased 3ppts to 21%, while 5-10-year FYP mix declined 7ppts y-y.
- Currency: USD currency policy still dominated, reaching a record high at 82%, with HKD currency policy at 14% of total APE in 4Q25.

New business payment pattern breakdown (FYP basis)



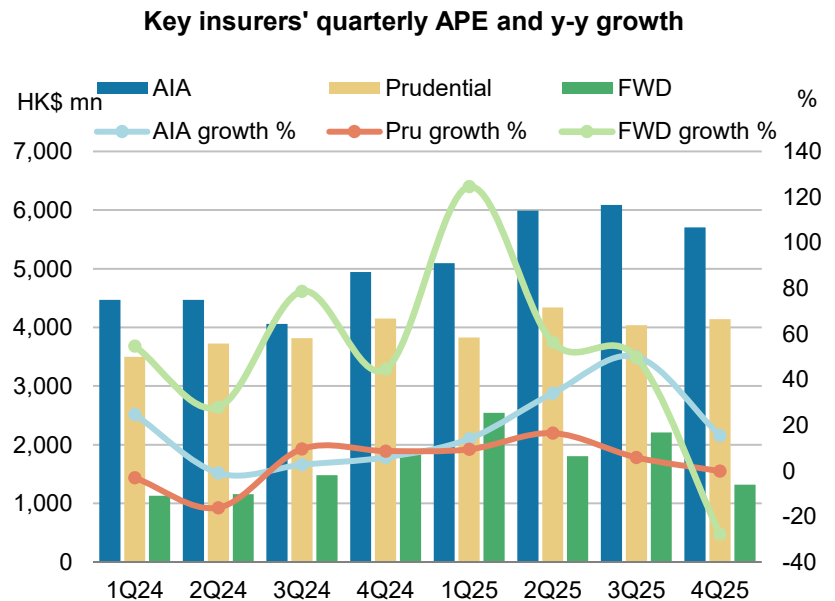
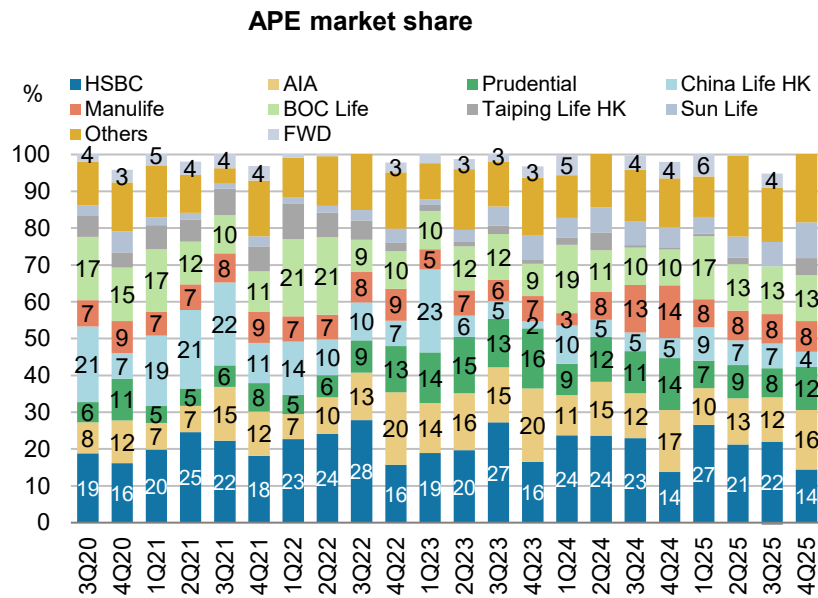
Currency breakdown (APE basis)



Source: HKIA, Morgan Stanley Research

3.1 HK market sales trends

- Banca-focused insurers: HSBC, BOC life, China Life HK, etc.
- Agent-focused insurers: AIA, Pru, Manulife, AXA, etc.
- Sunlife is more broker-focused



Source: HKIA, Morgan Stanley Research

3.2 Regulatory movement in the Hong Kong market - stricter oversight but not a ban

- Regulatory tightening in Hong Kong has mainly focused on high projected returns, elevated upfront commissions, and irregular mainland Chinese customer referral practices.
- We do not see a risk of MCV business being suspended, although tighter compliance and more standardized operating practices will likely be required.

Effective Date	Regulatory Movement	Key Content
7/1/2025	Illustration rate caps for par products	Setting rate caps of : - 6% for HKD-denominated policies - 6.5% for non-HKD-denominated policies
10/1/2025	Referral fee cap	Setting 50% as a benchmark of referral fees paid by brokers, beyond which enhanced disclosure and further explanation should be made.
1/1/2026	Par product commission restructure	Setting 70% cap on first-year commissions with the remainder spread over 5+ years
Since 2H25	Tighter sales supervision	Regulators have been strengthening supervision on insurance sales, including cross-border sales, non-licensed sales, unauthorized commission rebate, etc.
7/1/2027	Banca channel commission restructure	For regular premium par policies issued on or after July 1, 2027, the first-year commission received by banks shall not exceed 85% of the total commission, while the remainder must be spread evenly over at least 5 years.
7/1/2028	Banca channel commission restructure	The first-year commission cap for the bancassurance channel will be further reduced to 70% .

Source: HKIA, Morgan Stanley Research

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Within the last 12 months, Morgan Stanley has received compensation for investment banking services from China Pacific Insurance Group Co Ltd, FWD Group Holdings Ltd, Ping An Insurance Group Co of China Ltd.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from AIA Group Ltd, China Life Insurance Co Ltd, China Pacific Insurance Group Co Ltd, China Taiping Insurance Holdings Co Ltd, FWD Group Holdings Ltd, New China Life Insurance Company Ltd, PICC Group, Ping An Insurance Group Co of China Ltd, ZhongAn Online P & C Insurance Co Ltd.

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Global Stock Ratings Distribution

(as of June 30, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

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Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

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Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

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INDUSTRY COVERAGE: Hong Kong/China Insurance

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/10/2026)
Richard Xu, CFA		
AIA Group Ltd (1299.HK)	O (12/12/2023)	HK\$72.65
FWD Group Holdings Ltd (1828.HK)	O (08/13/2025)	HK\$29.00
Ping An Insurance Group Co of China Ltd (2318.HK)	O (05/30/2023)	HK\$53.05
Ping An Insurance Group Co of China Ltd (601318.SS)	O (05/30/2023)	Rmb49.48
Rick Zhao		
China Life Insurance Co Ltd (601628.SS)	E (05/30/2023)	Rmb37.42
China Life Insurance Co Ltd (2628.HK)	O (05/30/2023)	HK\$28.42
China Pacific Insurance Group Co Ltd (601601.SS)	O (06/07/2024)	Rmb29.62
China Pacific Insurance Group Co Ltd (2601.HK)	O (05/30/2023)	HK\$27.40
China Taiping Insurance Holdings Co Ltd (0966.HK)	E (05/30/2023)	HK\$18.58
New China Life Insurance Company Ltd (601336.SS)	U (05/30/2023)	Rmb62.98
New China Life Insurance Company Ltd (1336.HK)	U (07/31/2025)	HK\$45.30
PICC Group (1339.HK)	O (09/23/2024)	HK\$4.95
PICC Group (601319.SS)	E (07/31/2025)	Rmb7.06
PICC P&C Company Ltd (2328.HK)	O (05/30/2023)	HK\$14.18
ZhongAn Online P & C Insurance Co Ltd (6060.HK)	O (05/30/2023)	HK\$9.97

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